Complications

A majority of the directors of the board of the funds themselves were independent of Wellington Management Company, and I proposed that they adopt an unprecedented, unique structure, one in which the funds would govern themselves. The idea was simple. Why should our mutual funds retain an outside company to manage their affairs—the modus operandi of our industry then and now—when they could manage themselves and save a small fortune in fees? They could be truly *mutual* mutual funds. The battle was hard fought over a period of eight busy, hectic, and contentious months, with the fund board almost evenly divided. But this new structure finally carried the day.[2]

I named our new company after *HMS Vanguard*, Lord Horatio Nelson's flagship at the great British victory over Napoleon's fleet at the Battle of the Nile in 1798. I wanted to send a message that our battle-hardened Vanguard Group would be victorious in the mutual fund wars, and that our Vanguard would be, as the dictionary says, "the leader in a new trend." However, my idea suffered a setback when the fund directors allowed Vanguard (now owned by the funds) to handle only the administration side of the firm's activities, responsible for the funds' operating, legal, and financial affairs. When we began in May 1975, we were barred from assuming responsibility for investment management and marketing, the other two—and far more critical—sides of the triangle of essential mutual fund services.To my chagrin, these key services would continue to be provided by my rivals at Wellington Management Company.

A Complete Firm Emerges

I knew that we would have to expand our narrow mandate and take responsibility for the full range of administrative, investment, and marketing services that all fund complexes require if Vanguard were to have even a fighting chance to succeed. So we had to seek yet